

simpler, smaller things rarely stay on the fringe, and the shift to mainstream can be swift, catching the incumbents off guard.

Remittances and Blockchain Technology

One area long discussed as ripe for disruption is the personal remittances market, where individuals who work outside of their home countries send money back home to provide for their families. The market is massive, with the World Bank reporting worldwide remittance flows north of \$600 billion, though it admits that the estimate is conservative: “The true size of remittances, including unrecorded flows through formal and informal channels, is believed to be significantly larger.”⁶

Most remittances originate in high-income countries and are sent to individuals in developing countries, where the banking systems may not be easily accessible. As families in the receiving countries are typically unbanked—without access to a bank account or direct wire transfer capabilities—companies that provide a solution serve as a lifeline between the remitter and his or her family.⁷ For many years companies such as Western Union and MoneyGram have used their lifeline position to levy high fees on these remitters, as they are among few options available and provide a mission critical service.

For example, toward the end of 2016 the global average fee for a remittance was just shy of 7.5 percent, with the weighted average coming in just under 6 percent.⁸ These fees are decreasing, and rightfully so; in 2008, the average fee was nearly 10 percent, which meant that someone with \$100 to